

Brazil macro: carry, the election and one conditional trade

Research brief · thesis dated 24 September 2026 · Brazil · interest rates · the real · commodities

MY CURRENT VIEW · NO POSITION

The real is being held up by its large interest-rate cushion. The next big move depends on the 4 October election, which I can't forecast, so I'm waiting for the market to show its hand.

1. The cushion is still large. Even after Brazil cut to 13.75% and the U.S. raised rates to 3.75–4.00% on 16 September, Brazil's policy rate is 9.88 pp higher. Holding reals instead of dollars pays roughly 0.76% more per month. Traders call this carry.

2. Investors are charging for risk. Brazil's two-year market rate is 13.76%, about 1.5 pp above the average implied by economists' own rate forecasts (12.29%). I read much of that gap as a premium for fiscal and political uncertainty.

3. The election is too close to call. Datafolha has Lula at 39% and Flávio Bolsonaro at 36% for the first round (margin ± 2 pts). The 2027 budget is disputed: the government projects a R\$18.6 bn surplus, the Senate's fiscal watchdog a R\$86.1 bn deficit.

What would make me act

After the first round: two daily PTAX closes below 5.10 while the U.S. two-year yield stays at or below 5.00%. I would read that as investors seeing less fiscal risk, and paper-buy the real.

What would change my mind

A PTAX close above 5.30 before any entry, Brazil's two-year rate above 14%, or the U.S. two-year yield above 5.10%. Each would mean risk is rising, not falling.

Key figures at the thesis date · 24 September 2026

Selic target

13.75%

16 Sep 2026 · BCB

Fed target range

3.75–4.00%

16 Sep 2026 · Fed

Brazil–U.S. rate gap

9.88 pp

23 Sep 2026 · BCB / Fed

USD/BRL (PTAX)

5.1792

24 Sep 2026 · BCB

U.S. 2-year yield

4.87%

24 Sep 2026 · U.S. Treasury

Brent crude (spot)

\$114.89

22 Sep 2026 · EIA / FRED

What happened to my 13 September thesis

On 13 September I expected both central banks to deliver what markets priced, and planned to buy dollars only if USD/BRL broke above 5.22. No position was ever opened, so there is no performance to report, only reasoning to check.

WHAT I EXPECTED

Copom cuts 0.25 pp; the Fed raises 0.25 pp.

WHAT HAPPENED

Both on 16 September: Selic 14.00% → 13.75%; Fed 3.50–3.75% → 3.75–4.00%, unanimously.

VERDICT

Confirmed

Brazil's rate lead narrows by about 0.50 pp.

10.38 pp → 9.88 pp.

Confirmed

WHAT I EXPECTED	WHAT HAPPENED	VERDICT
Higher U.S. yields push the dollar up.	U.S. two-year 4.56% → 4.87%; USD/BRL 5.0915 → 5.1792 (+1.7%). Right direction, small move.	Partly
Oil above \$100 supports the real.	Brent spot peaked at \$130.80 on 15 September, yet the real weakened. Oil may have cushioned the move; the data cannot separate it from U.S. rates and politics.	Unresolved
Act only above 5.22; drop the idea below 5.08.	Highest close 5.1792 (24 September); lowest 5.1114 (21 September). Neither level was reached.	Not triggered
Election news listed as a secondary risk.	By late September, daily market reporting cited polls alongside U.S. yields as a main driver of the real.	Underweighted

What I changed. The size of the rate cushion mattered more than its 0.50-point change, and I treated the election as a footnote when it is the main event. The new thesis starts from those two corrections.

The paper trade: buy the real only if the market confirms

Inactive, no position · earliest entry 5 October

Expression	Long the Brazilian real against the U.S. dollar (short USD/BRL), tracked with the official PTAX rate. Paper only: no money, no execution.
Thesis	If the election lowers the fiscal risk premium, the real should strengthen and stay stronger, because investors keep collecting a large interest-rate cushion while they wait.
Why it may not be priced	The two-year rate sits 1.5 pp above the economists' own path, and economists expect USD/BRL at 5.20 at year-end. A durably stronger real is not the consensus, and the premium could compress quickly if uncertainty clears.
Catalysts	First round 4 October; possible runoff 25 October; Fed 28 October; Copom 4 November.
Entry	From 5 October: two consecutive daily PTAX closes below 5.10, with the U.S. two-year yield at or below 5.00%. 5.10 is near the bottom of the last 20 closes (5.0853–5.2002).
Drop the idea (before entry)	Any PTAX close above 5.30, higher than every close of the past four months (peak 5.2233 on 14 August). The idea is dropped, not reversed.
Exit (after entry)	Two consecutive closes above 5.20 (the top of the recent range and the economists' year-end median), or the U.S. two-year yield above 5.10%.
Review	Around 4.97–5.00 (range low minus range width), or on 4 November at the latest. A review zone, not a target.

Main risks. (1) The election result is read as fiscally negative, whoever wins. (2) U.S. yields keep rising and pull money out of emerging markets. (3) Oil falls sharply as Hormuz reopens: less export income for Brazil and room for faster Copom cuts, which would shrink the cushion. (4) PTAX is a daily reference rate, not a price I could trade. Costs, spreads and position size are not modelled.

Evidence that would change my view. Brazil's two-year rate above 14% (checked by hand on ANBIMA), a Copom signal of faster cuts, a sharp deterioration in official fiscal numbers, or the U.S. two-year yield above 5.10%.

What could happen after 4 October

Three paths I can recognise in the data, plus one outside shock. I don't attach probabilities: the point is to decide in advance what each would mean and what I would do.

A. Risk premium falls

Signals: PTAX closes below 5.10 twice; Brazil's two-year rate falls a quarter point or more from 13.76%; implied inflation eases.

What it would mean: Investors see less fiscal risk, and the carry cushion keeps attracting money.

What I would do: **Paper-buy the real if the U.S. two-year yield is at or below 5.00%.**

B. No verdict until the runoff

Signals: PTAX stays between 5.10 and 5.30; polls remain tight.

What it would mean: The market waits for 25 October.

What I would do: **No position. Reassess after the runoff and the 4 November Copom decision.**

C. Risk premium rises

Signals: PTAX closes above 5.30; the two-year rate moves above 14%; implied inflation rises.

What it would mean: Fiscal worries dominate. A weaker real plus expensive oil could make the Copom pause its cuts.

What I would do: **Drop the long-real idea. A dollar trade would need new rules; I would not recycle September's.**

D. Outside shock: U.S. rates

Signals: The U.S. two-year yield rises above 5.10%, or the ten-year jumps further.

What it would mean: Emerging-market currencies tend to weaken together, whatever Brazil's election says.

What I would do: **No long-real position; exit if already in one.**

Dates that matter. 4 Oct: Brazil election, first round · 25 Oct: Runoff, if needed · 28 Oct: Fed decision · 4 Nov: Copom decision · 9 Dec: Fed and Copom decisions

My interpretation

– If policy follows the economists' path, the average overnight rate over the next two years would be about 12.29%; the market's two-year rate is 13.76%. The 1.5 pp difference is either a view that the Copom will cut less, or a premium for risk. I read most of it as risk premium because implied inflation (5.9%) sits far above forecasts (4.3% for 2027), but the data cannot prove that split.

– The wide gap between spot and futures oil prices says physical supply is scarce now but the market expects it to ease. Oil's support for the real may therefore be temporary.

– A 0.50-point narrowing of a 9.9-point gap barely changes the incentive to hold reais; a change in the risk premium can move the currency much more.

Brazil's export prices: which ones matter now?

Brazil earns dollars by exporting oil, iron ore, soybeans and sugar. Each series keeps its own date and frequency; they are not combined into one index.

COMMODITY	LATEST	CHANGE	MATTERS FOR THE NEXT SIX WEEKS?
Oil (Brent spot)	114.89 USD/bbl 22 Sep 2026	–1.1% vs 21 Sep 2026	Yes, both ways. Supports export income and keeps the Copom cautious; a sudden reopening of Hormuz would remove both effects. The spot price is well above the futures price quoted in the news.
Iron ore	101.60 USD/t Jul 2026	–2.1% vs Jun 2026	Not now. The monthly IMF price slipped in July. Without a clear change in Chinese steel demand it is unlikely to move the real within six weeks, though it matters directly for Vale.
Soybeans	442.45 USD/t Jul 2026	+6.7% vs Jun 2026	Limited. Prices rose in July, but Brazil's export season peaks between March and July, so fewer soy dollars arrive in the fourth quarter.

COMMODITY	LATEST	CHANGE	MATTERS FOR THE NEXT SIX WEEKS?
Sugar	14.81 US¢/lb Jul 2026	+6.5% vs Jun 2026	Limited. Mills can switch cane between sugar and ethanol; expensive oil makes ethanol more attractive, which can tighten sugar supply. More a company story than a currency one.

Method, data and limits

Decision levels. Taken from the last 20 PTAX closes when the thesis was written (5.0853–5.2002), rounded to two decimals. The review zone is the range low minus the range width.

Market vs. economists. Economists' path: a straight line from today's Selic through the Focus year-end medians, minus 0.10 pp (the usual gap between the overnight CDI rate and the Selic), compounded and annualised over one and two years, then compared with ANBIMA's fixed-rate zero-coupon yields: one year 13.03% vs 13.47%, two years 12.29% vs 13.76%.

Limits. PTAX is the central bank's daily reference rate, not a price anyone can trade at. Brazil's curve (ANBIMA) and oil futures are dated observations collected by hand for this thesis; they do not refresh. Focus is a survey, not a policy commitment. The market-vs-economists gap mixes expectations and risk premium. Commodity series have different frequencies and publication lags and are never combined. No probabilities are assigned to paths; none of the rules has been tested on history. AI tools helped write code, draft research text and translate. The rules and the final judgement are mine, and every figure links to its source.

Sources

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The full evidence list, data status and calculations are on the website: brasilmacro.streamlit.app/?lang=en · github.com/Midiansi/brazil-rates-fx-scenario-monitor

Educational research, not investment advice. No real positions and no claimed performance. Thesis dated 24 September 2026; each figure shows its own date.